

POST INDEPENDENCE DEVELOPMENTS

ECONOMIC HISTORY OF INDEPENDENT INDIA

MODULE-16



ECONOMY

- 1** As per Mahatma Gandhi, the soul of India lied in the villages. It was evident from his insistence of bottom-up approach method of governance
- 2** After independence, major section of the Indian population comprised of peasants and laborers
- 3** Agriculture contributed about 60 percent to India's GDP but employed almost $\frac{3}{4}$ of the population
- 4** The industrial sector was relatively underdeveloped. It accounted for about 12 per cent of the workforce, and contributed to 25 per cent of GDP.
- 5** In this economic structure, peasants became the backbone of the Indian economy. But the conditions of the peasants, geographical conditions and consequent agricultural practices, differed according to regions.



AGRICULTURE IN INDIA

- 1 These regional variations affected social equations as well. Women, for example did not participate in cultivation in the wheat producing regions of the north and west but they were very active in rice-producing regions of south and east
- 2 Peninsular India, on the other hand, contained a variety of drought-resistant millets
- 3 Besides grain, peasants grew a wide range of fruit crops, as well as market-oriented produce such as cotton and sugar cane.



POST INDEPENDENCE DEVELOPMENTS

PROMISES OF INDIAN NATIONAL CONGRESS

- 1 In India, ancestral occupations had been continuing and peasants, shepherds, carpenters and weavers all continued the professions of their forefathers
- 2 The rate of growth of population was quite high. But the social infrastructure to provide better health facilities and cater to the ill and diseased was abysmally low
- 3 However, the situation improved and death rates fell with the expansion of medical facilities in the late nineteenth century.
- 4 Congress was certain of implementing three reforms
 - Abolition of land revenue.
 - Massive expansion of irrigation, both to augment productivity and reduce dependence on the monsoon.
 - The reform of the system of land tenure. Particularly in north and east India, the British had encouraged a system of absentee landlordism. In many other districts too, those who tilled the land usually did not own it.



AGRICULTURE VERSUS INDUSTRY

- 1 But, as the nationalists also recognized, agrarian reform had to be accompanied by a spurt in industrial growth. Factories had to be established in order to absorb the unemployed laborers in the countryside
- 2 The path of economic development was not finalized. The options before India were being considered
 1. Capitalism was out rightly discarded.
 2. Socialist model of Soviet Union was admired by several leaders including PM Nehru as it would allow industries to be shielded from competition.
 3. Japan model was also admired. Japan, he found, had built its factories and banks by schooling its workers and keeping out foreign competition. The role of the state was crucial.

AGRICULTURE



MANUFACTURING



PRE-INDEPENDENT ECONOMY

1 In 1938 the Congress setup a National Planning Committee (NPC) to develop a path for economic development to be adopted by free India.

2 According to this Committee the main goals of India were 'national self-sufficiency' and enhancing the living standards of people

3 Planning itself was defined as 'the technical co-ordination, by disinterested experts, of consumption, production, investment, trade, and income distribution, in accordance with social objectives set by bodies representative of the nation'.

In 1938, Congress President Netaji Subhash Chandra Bose set up a National Planning Committee.



PRE-INDEPENDENT ECONOMY

- 4 In 1944, a group of leading industrialists issued what they called 'A Plan of Economic Development for India (more commonly known as the Bombay Plan)'.
- 5 This conceded that 'the existing economic organization, based on private enterprise and ownership, has failed to bring about a satisfactory distribution of the national income'.
- 6 Only the state could help 'diminish inequalities of income'.
- 7 But the state was necessary for augmenting production too. Energy, infrastructure and transport were sectors where the Indian capitalists themselves felt the need for a government monopoly.



PRE-INDEPENDENT ECONOMY

- 8 In the early stages of industrialization, it was argued that State should intervene and exercise control.
- 9 It was seen as an enlargement of the positive as well as preventative functions of the State is essential to any large-scale economic planning.
- 10 Jawaharlal Nehru imposed a model of centralized economic development on an unwilling capitalist class.



PLANNING COMMISSION OF INDIA

- Thus, the Constitution of India directed the government to ensure that 'the ownership and control of the material resources of the community are so distributed as best to sub serve the common good'; and that 'the operation of the economic system does not result in the concentration of wealth and means of production to the common predicament'.
- Within a month of the adoption of the constitution, the government set up a Planning Commission to carry out these 'directive principles'



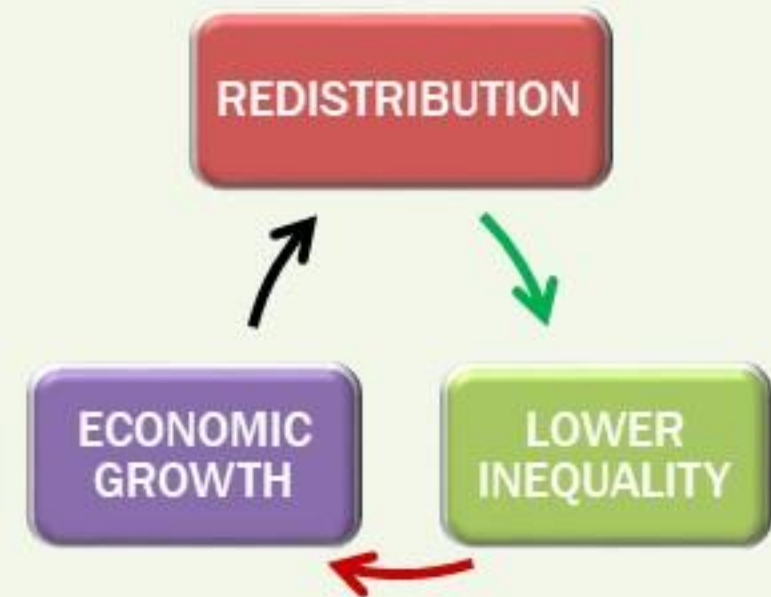
PLANNED DEVELOPMENT

CONSENSUS

- Hence it was decided that Economic growth along with ensuring economic and social justice (poverty alleviation and socialist and economic redistribution) was to be the main focus
- The government would intervene to ensure sustainable growth as the marginal sections could not be left to the private sectors
- Political consultations and incorporating public opinion was essential.

DEBATES ON DEVELOPMENT INVOLVED DIVERGENT OPINIONS

- Industrialised and modernized like capitalist and liberal West supported material growth and scientific rationality
- Socialist like USSR were supported by CPI and influenced Nehru.



PLANNED DEVELOPMENT



- To incorporate all of them - Planning Commission with Prime Minister as Chairperson.
- Five Year plans adopted - Government of India planned all its income and expenditures for the next five years

CENTRAL AND STATE GOVERNMENT BUDGET

- **PLAN BUDGET**
 - ✓ Spent on the five years based on the priorities fixed by plan
- **NON-PLAN BUDGET**
 - ✓ Budget spent on routine items on a yearly basis



POST INDEPENDENCE DEVELOPMENTS

FIRST FIVE YEAR PLAN (1951 to 1956)

AIM

Upliftment of poor and bringing the economy out of poverty.

FOCUS

- Development of Agriculture sector including investment in dams and irrigation like Bhakra Nangal Dam.
- Land reforms essential.
- Raise national income.
- Development of transportation + communication.
- Limited focus on industrialization.

ISSUE

Existing Land distribution pattern hindered agricultural growth.



PUBLIC
SECTOR

VS

PRIVATE
SECTOR

PLAN OUTLAY OF FIRST FYP

- 1 The plan outlay for the First FYP was Rs 2069 crores, later upgraded to Rs 2378 Crore.
- 2 The private sector also invested thus making the total investment to Rs 3360 crores.
- 3 In the background of the agricultural crisis and high food imports from abroad, the plan outlay was spent in the following ways-
 - ✓ Expenditure of Rs 1960 crores was made in the public sector with
 - ✓ 31 percent spent on agriculture leading to production of agriculture increased by 17%.
 - ✓ 27 percent on transport and communications
 - ✓ 13 percent to power
 - ✓ 6 percent to village and small industries.
 - ✓ The Industrial production rose by 39%



FIRST FIVE YEAR PLAN

1 In 1951 the Planning Commission issued a draft of the first five-year plan.

2 There was focus on the development of transport and communications, and the provision of social services.

3 The plan mainly focused on the development of the Primary Sector.

4 By 1956, five IITs were started as major technical institutions.

5 The university Grants Commission (UGC) was set up to strengthen the higher education in the country.



INFRASTRUCTURE FOR AGRICULTURE

The biggest focus was on agriculture, the sector hardest hit by Partition.

- 1 In the economic modernization of India, large dams served as pillars for agriculture sector.
- 2
 - Dams serve as an alternate to the rain fed economy, thereby ensuring a continuous supply of water to the agriculture units.
 - They also help supply electricity especially in a power-deficit country
- 3 Jawaharlal Nehru referred to the dams as 'the temples of modern India'.
- 4 Among the massive dam projects under way were those on the Mahanadi, Rihand, Tungabhadra, Damodar and Sutlej rivers. Without question the most prestigious of all these schemes was the Bhakra-Nangal project in northern India.



ASSESSMENT

- 1 The national income increased by about 18%.
- 2 The Industrial production rose by 39%
- 3 Road transport in the states suffered severely from the government's greater preference for nationalization than improvement of existing facilities.
- 4 The problem of unemployment worsened with almost 4.5 million persons being unemployed.
- 5 In the social sector the percentage of school going children in the age-group 6-11 years went up by 9.9% only as against the target of 18.8%.

- 6 Land Reforms witnessed a lopsided implementation with regional variations
- 7 Critics from left and right lambasted the first five-year plan as lacking in vision and ambition.

Jawaharlal Nehru however appreciated the attempt and thought of it as an effort to 'bring development to the whole of India'



POST INDEPENDENCE DEVELOPMENTS

SECOND FIVE YEAR PLAN (1956-61)

AIM

Industrialization of the economy to spur Growth

FOCUS

- Upgrade India Technologically
- Address the problem of unemployment.
- Continue the development of capital infrastructure in agriculture as started in the First FYP

ISSUE

Maintaining a balance between Agriculture and Industry.

Nehru had said that 'it was obvious to me that we have to industrialize India, and as rapidly as possible'.



PLAN OUTLAY

The total outlay for the Second FYP was Rs 4672 crore.

- Agriculture and community development - Rs. 560 crore
- Irrigation and power - Rs. 913 crore
- Industry and mining - Rs. 890 crore
- Transport and communication - Rs. 1385 crore
- Social services - Rs. 945 crore



MAHALABOBIS TO ACHIEVE OBJECTIVES OF SECOND FYP

- Indian scientist and statistician **Prasanta Chandra Mahalanobis** was born on June 29, 1893.
- Remembered for discovering Mahalanobis Distance, a measure for comparing distance between two data sets.
- Established **Indian Statistical Institute** in Calcutta & **Central Statistical Organisation (CSO)** to coordinate statistical activities in India.
- As a member of Planning Commission, **helped formulate India's strategy for Industrialisation** in the second five year plan.
- Honoured with **Padma Vibhushan** in 1969.



**PRASANTA CHANDRA
MAHALANOBIS**
(1893-1972)

OBJECTIVE OF SECOND FYP BY MAHALANOBIS

Mahalanobis outlined objectives for the second five-year plan.

- ✓ Achieve rapid economic growth with the active participation of the public sector and thereby advance the socialistic pattern of society
- ✓ Develop basic heavy industries for the manufacture of producer goods to strengthen the foundation of economic independence.
- ✓ Other objectives included the production of consumer goods by both the factory and household sector
- ✓ increase agricultural productivity
- ✓ the provision of better housing, health and education facilities



CAPITAL INVESTMENT

- 1** The emphasis on capital goods was justified in two principal ways
 - ✓ The first was that it would safeguard this former colony's economic, and hence political, independence.
 - ✓ The second was that it would help solve the pressing problem of unemployment.
- 2** The quickest way to create jobs was to build dams and factories the leading economists of India were behind what was already being called 'the Mahalanobis Model of Planning'



CLASSIFICATION OF INDUSTRIES

- 1 The Mahalanobis plan was to help India become 'swadeshi', or self-reliance.
- 2 A government resolution of 1956 classified new industries into three categories.

CLASS - I

Class I would be the 'exclusive responsibility of the state; these included

- ✓ Atomic energy Defence-related industries and Heavy electricals.

CLASS - II

Class II would witness both public and private sector participation

CLASS - III

Class III consisted of all the remaining industries, to be undertaken 'ordinarily through the initiative and enterprise of the private sector.

OUTCOME OF SECOND FYP

- 1** The national income of India under the Second FYP increased and the per capita income increased by 8%.
- 2** Food production increased by 15% from 67 million tonnes (MT) to 75 million tonnes (MT). There was a fall in the production of Jute.
- 3** The Second Plan came to be titled as “an industry and transport plan” as India started producing large quantities of machinery, machine tools for agriculture, industry and transport, heavy electrical equipment and scientific instrument.



BHOODAN MOVEMENT

- 1 A second way of tackling landlessness was to persuade large landholders to voluntarily give up land under their possession.
- 2 This was a method pioneered by a leading disciple of Gandhi, Vinoba Bhave.
- 3 In 1951 Bhave undertook a walking tour through the then communist-dominated areas of Telangana.
- 4 In Pochampelli village, he persuaded a zamindar named Ramchandra Reddi to donate a hundred acres of land. This encouraged Bhave to make this a country wide campaign, known as the 'Bhoodan movement'.
- 5 Critics pointed out that the bulk of the land donated to Bhave had never been distributed to the landless; over the years it had slowly returned to the hands of the original owners. Besides, much of the land that stayed under Bhoodan was rocky and sandy, unfit for cultivation. In few places were the intended beneficiaries organized to work the land they had been gifted.



BHOODAN MOVEMENT

- 1** A third way of ending landlessness was to use the arm of the state. Land reform legislation had long been on the agenda of the Congress.
- 2** After Independence, the different states passed legislation abolishing the zamindari system which, under the British, had bestowed effective rights of ownership to absentee landlords.
- 3** The abolition of zamindari freed up large areas of land for redistribution, while also freeing tenants from cesses and rents previously exacted from them.
- 4** The Nehru-Mahalanobis model thus, emphasized heavy industrialization, state control, and ultimately, a subsidiary role for the private sector.



THIRD FIVE YEAR PLAN (1961-66)

AIM

- Achieve Food sufficiency
- Revive focus on Agriculture

FOCUS

- Reduce dependency on foreign aid
- Increase budgetary allocations for Agriculture through agriculture credit and capital infrastructure
- Become self reliant through initiatives like Green Revolution and White Revolution
- Land Reforms

ISSUE

Food shortages and Balance of Payment Crisis



OBJECTIVES OF THIRD FIVE YEAR PLAN

1 Aim to increase national income by 5% annually. The investment pattern laid down must be capable of sustaining this growth rate in the subsequent years.

2 Attain self-sufficiency by increasing food-grain production and enhancing productivity.

3 Expansion of basic industries in the next ten years to cater to the increasing demands of industrialization

4 Provide adequate employment opportunities to utilize the country's manpower

5 Redistribution of resources, thereby reducing wealth and income disparities.



PRIORITIES OF THE THIRD FIVE YEAR PLAN

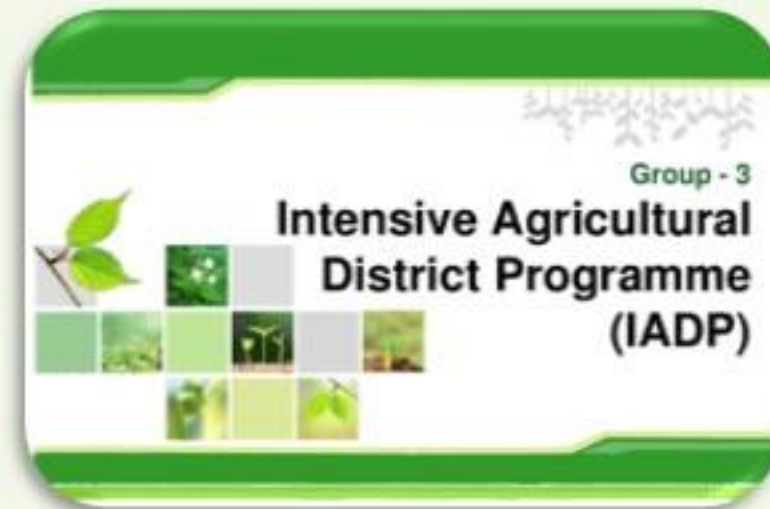
- 1** The total proposed outlay for the Third Plan was Rs. 11,600 crore, of which Rs. 7,500 crore was for the public sector, 1/4 of the Plan allocation was given to Transport & Communications.
- 2** 23% of the plan allocation was for the industry including village and small scale industry
- 3** The third focus sector was agriculture, including irrigation and community development. There was greater fund utilisation for agriculture as compared to Second FYP
- 4** Percentage expenditure on social services remained more or less the same at 17.3% in the Third Plan as against 18% in the second.



INTENSIVE AGRICULTURE

1 As a continued focus on Agriculture The Intensive Agricultural Districts Programme was launched in 1960-1961 and its modified version, Earlier agricultural production was increased by increasing the area under cultivation. Under the Third FYP emphasis shifted to enhancing productivity and intensive cultivation.

- 2**
- One of the steps included increased distribution of fertilizers
 - The adoption of Mexican variety of wheat under Green revolution changed the course of Indian agriculture.
 - Paddy seeds of exotic varieties such as Taichung native I were introduced in 1965.
 - Institutional support was also provided with the establishment of National Seeds Corporation



PROGRESS OF THE THIRD FIVE YEAR PLAN

- 1 The implementation of the Third Plan was deeply affected by the Indo-China and Indo-Pak wars. Foreign aid was suspended under these circumstances.
- 2 On the domestic front, monsoons also failed in 1965-66.
- 3 Inflation and rising costs further complicated the situation.
- 4 As a consequence, actual development often fell short of targets, particularly in the field of agriculture, irrigation, power, organised industry, and housing.



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suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

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